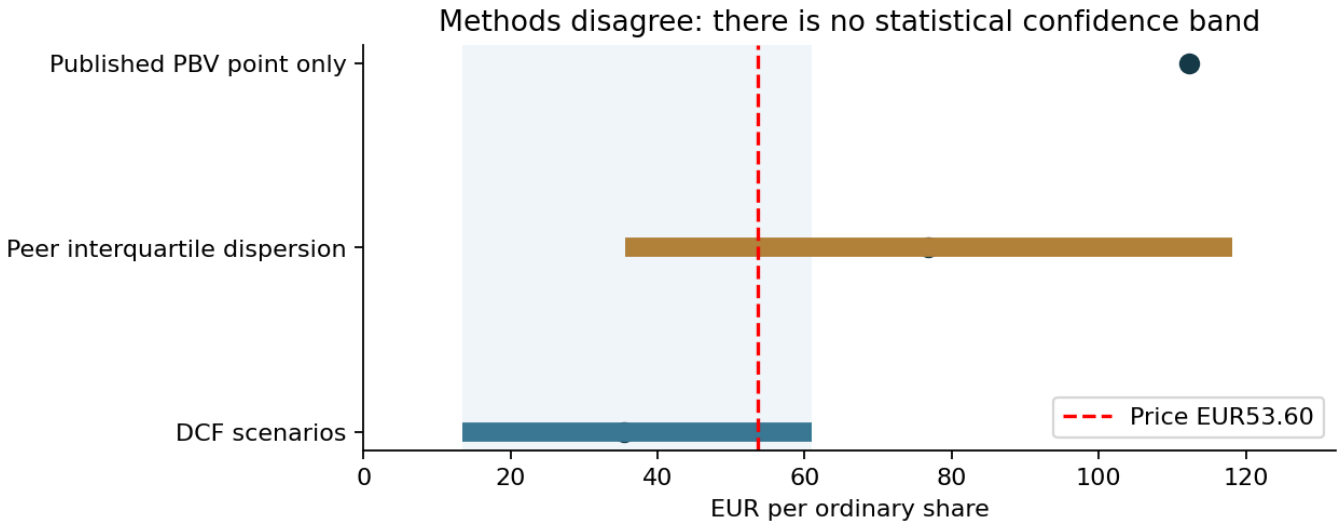
ARCELORMITTAL

MT.AS |30 OCTOBER2026 | PROVISIONAL

1. One-page summary

PROVISIONAL - NOT INVESTMENT-READY. Academic model recommendation: SELL. Twelve-month valuation-based target EUR36. Current price EUR53.60 (StockAnalysis Amsterdam history, 30 October 2026); target downside -32.8%, or EUR17.60. Unrounded intrinsic base EUR35.51; scenario range EUR13.50-60.92. The base is the central planning case, not a statistically most-probable outcome. No scenario probabilities are asserted.

Plain English: a large steel producer can look cheap against its factories and reported profits yet generate less cash for shareholders than those accounting measures suggest. This model requires substantial reinvestment and deducts debt and other claims. Recovery, working capital and the discount rate are the three important drivers. The current price lies inside the broad bull/bear envelope. Open evidence gates prevent a verified investment recommendation.



2. Company in five minutes

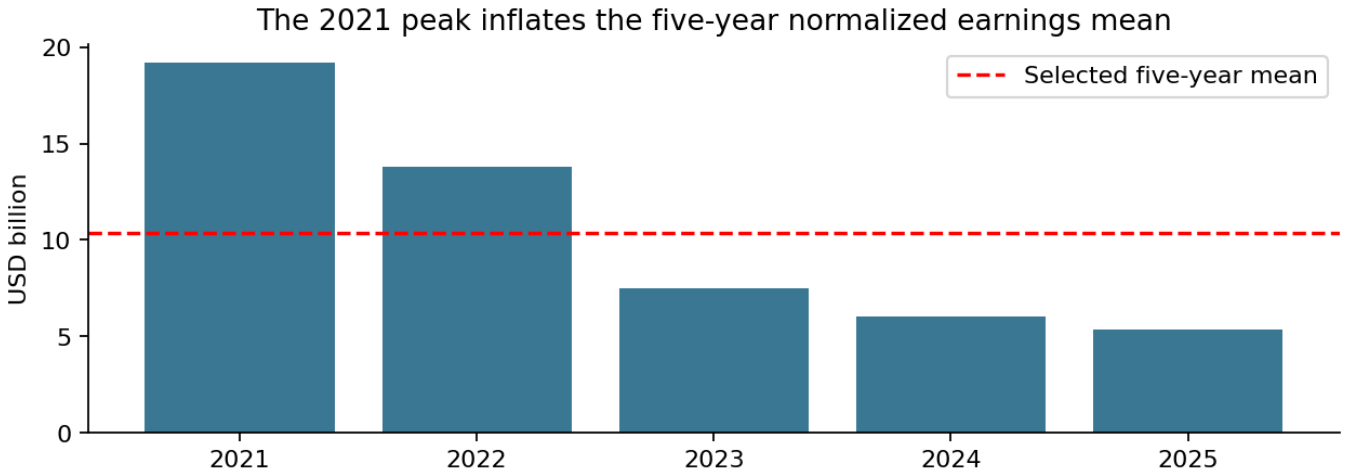
ArcelorMittal S.A. is Luxembourg-incorporated and reports in USD under IFRS. The valued security is the Euronext Amsterdam ordinary share, MT, vendor MT.AS, ISIN LU1598757687; EUR quote. This is not a separately valued US ADR. Steel operations span Europe and the Americas; mining supplies iron ore and other inputs, and material investments are equity-accounted associates/JVs. FY2025 revenue was USD61.352bn. Country risk follows revenue exposure, not Luxembourg domicile alone. Sources: annual report2025, geographic_risk.csv, company_identity.md and the Euronext security page; accessed31 October2026.

3. Industry and competitors

Steel is cyclical, capital-intensive and exposed to construction, automotive demand, trade rules, energy, ore and carbon costs. These mechanisms are risks, not quantitative forecasts of tariffs or steel prices. EU import protection could improve spreads; higher energy costs, weak demand or decarbonization investment could offset it. The peer set spans steel, metals/mining and three more distant process-industry businesses. Comparability is therefore limited even before the outstanding ownership/event checks.

4. Financial history

FY2021-25 revenue was USD76.571/79.844/68.275/62.441/61.352bn. Issuer operating profit was16.976/10.272/2.340/3.310/3.628bn. Mechanical EBITDA is not the same as normalized EBITDA. The DCF adjusts impairments, disposals, bargain gains and a settlement, then uses mean adjusted EBITDA USD10.375bn and mean sales USD69.697bn, giving14.89%. This includes unusually strong2021, so it is not a conservative through-cycle certainty. FY2025 includes a USD1.858bn bargain gain; 2023 disposal/associate impairments and2025 settlement/associate impairments require separate treatment. Estimated NI adjustments use25% tax, not the reported effective rate. All84 stage1 anomaly flags and dispositions remain in anomaly_report.md.



5. Forecast assumptions

FCFF means free cash flow to all capital providers. The model starts with trailing revenue USD62.846bn, adjusted EBITDA6.230bn and D&A3.121bn. Revenue grows3% for three years, then2.5%. The margin recovers over five years to14.89%; ten explicit years plus year11 terminal cash flow are used. Operating tax25%, terminal growth2.5%, return on capital8% and net capital expenditure/NOPAT80% for five years are analyst selections, not consensus. Reinvestment transitions to the terminal growth/return identity. D&A/sales stays at3121/62846. Working capital/sales14.3469% averages issuer FY25 8.8538% and European industry19.84%; initial operating working capitalUSD7.443bn is the latest June balance. Negative changes in working capital are floored by the course convention. No separate R&D/lease restatement is made; debt includes leases.

6. DCF valuation

FCFF is selected because five-year market leverage is unstable (23.73%,36.28%,32.54%,40.25%,28.30%), not because it gives a lower value. USD risk-free rate4.72% is Treasury4.94% less sovereign spread0.22%; mature ERP4.20%; revenue-weighted CRP1.6667%. Unlevered beta0.85245 is relevered along the target debt path29.06%. Initial cost of equity10.903%, terminal11.084%; pre-tax debt cost5.83%, with Luxembourg marginal tax23.87% in the financing shield. WACC runs9.2505% to9.1524%. Ratings Baa2/BBB stable support the spread, but current bond YTM is not independently observed.

Base value EUR35.51; discounted terminal value contributes78.72%. The operating-to-common bridge adds excess cash4219.54, associates9937 and other investments283, then subtracts debt14716, NCI2003 and pensions1821 (USDm). Debt14716 is book14421 plus prior fair-value premium295, not a cutoff market quote. Several claims use book/tax proxies. Estimated diluted shares752.710746m and USD/EUR1.1172 translate equity to EUR/share. The workbook/library difference is2.84e-14; arithmetic agreement is not economic validation.

ArcelorMittal | FCFF | 30 October 2026

Base EUR 35.51 | Price EUR 53.60 | -33.7%

Low / base / high: EUR 13.50 / 35.51 / 60.92

5 recovery + 5 transition years; terminal g 2.5%, ROC 8.0%

Mid-cycle EBITDA USD 10,375m; target margin 14.89%

USD Rf 4.72%; CRP 1.67%; beta U 0.852

Ke 10.90% to 11.08%; Kd 5.83%; WACC 9.25% to 9.15%

Operating EV USD 33,963m; common equity 29,863m

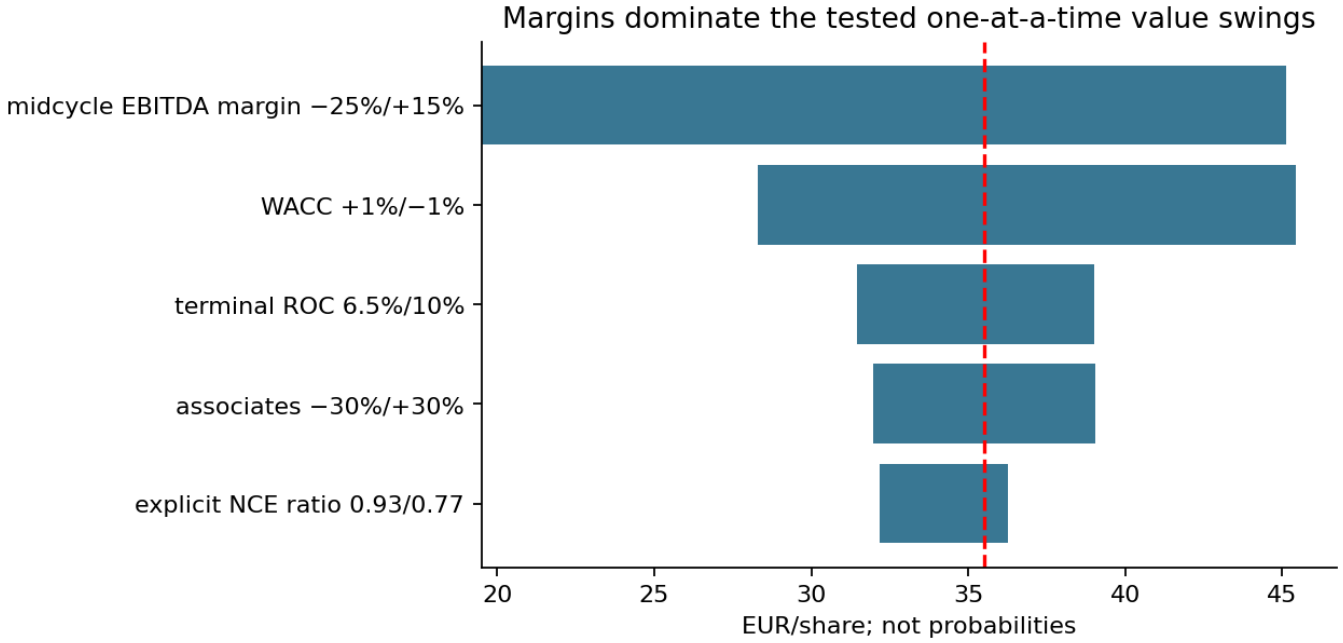
Terminal PV share 78.7%: HIGH terminal dependence

Cash +4,220; associates +9,937; investments +283 (USDm)

Debt -14,716; NCI -2,003; after-tax pensions -1,821

Diluted denominator 752.711m (estimate plus 3m reserve)

PROVISIONAL: shares, claim fair values and human review unresolved.


Margins dominate the tested one-at-a-time value swings
midcycle EBITDA margin −25%/+15%
WACC +1%/−1%
terminal ROC 6.5%/10%
associates −30%/+30%
explicit NCE ratio 0.93/0.77
20
25
30
35
40
45
EUR/share; not probabilities

7. Independent relative valuations

Comparables: nine preliminary peers, six Tier1/2, three Tier3 and six Europe listings remain after Europe, World, size and Tier3-cap relaxations. Ten could not be supported without padding. Exactly nine is provisional because ownership, restructuring, classification and some primary ISIN evidence are incomplete. The initial pool is31 non-targets, including24 Europe and7 World candidates. IEUR is an IMI proxy including small caps, not proof of standard-index membership. URTH World holdings29 October and issuer/MSCI evidence supplement it.

EV/EBITDA is the steel primary in principle; absent separately identified associates makes harmonized EV unavailable. Prescribed PBV fallback, scaled by positive average-equity ROE, gives EUR76.75, quartiles35.54-118.07, n=9. PBV means price/book value. Reported FY2025 data and754.04m vendor current basic shares are used, not the DCF diluted estimate. Every raw/scaled series requires six valid observations. EV pre-associates cross-checks are qualified, never fully reconciled EV. Relative PE/index and Tobin Q are unavailable.

Published regression: Western Europe/UK January2026 PBV predicts1.7363x, value EUR112.26, R-squared42.3%. PE is the only other eligible equation (R-squared20.1%); EV/EBITDA is stopped for missing matched FY tax/return inputs and ambiguous EV scope. No third equation is invented. Fundamental closing ROE times retention replaces expected five-year analyst growth under approval. A/B/C, adjusted R-squared, n, residual bands, p-values and D1-D10 are n/a_published_route. Low R-squared,10-month vintage, market-wide rather than steel-only scope and substituted growth sharply limit inference. Global PBV is withheld for the beta-sign anomaly. Both live workbook predictions match the library within1e-9. No regression fair-value confidence interval is claimed.

ticker	tier	distance	country
NUE	1	0.628	United States
STLD	1	0.811	United States
HEI	3	0.831	Germany
VOE	1	1.242	Austria
NHY	2	1.377	Norway
ANTO	2	1.478	United Kingdom
BZU	3	1.735	Italy
YAR	3	1.812	Norway
FMG	2	1.842	Australia

multiple	n_valid	value_per_share_mid
pe	9	65.041
peg	9	65.041
relative_pe	0	nan
ev_ebit	9	8.986
ev_ebitda	9	21.914
ev_cf	9	27.994
pbv	9	76.752

multiple	n_valid	value_per_share_mid
ev_assets	9	99.709
tobins_q	0	nan
ps	9	72.471
ev_sales	9	21.914

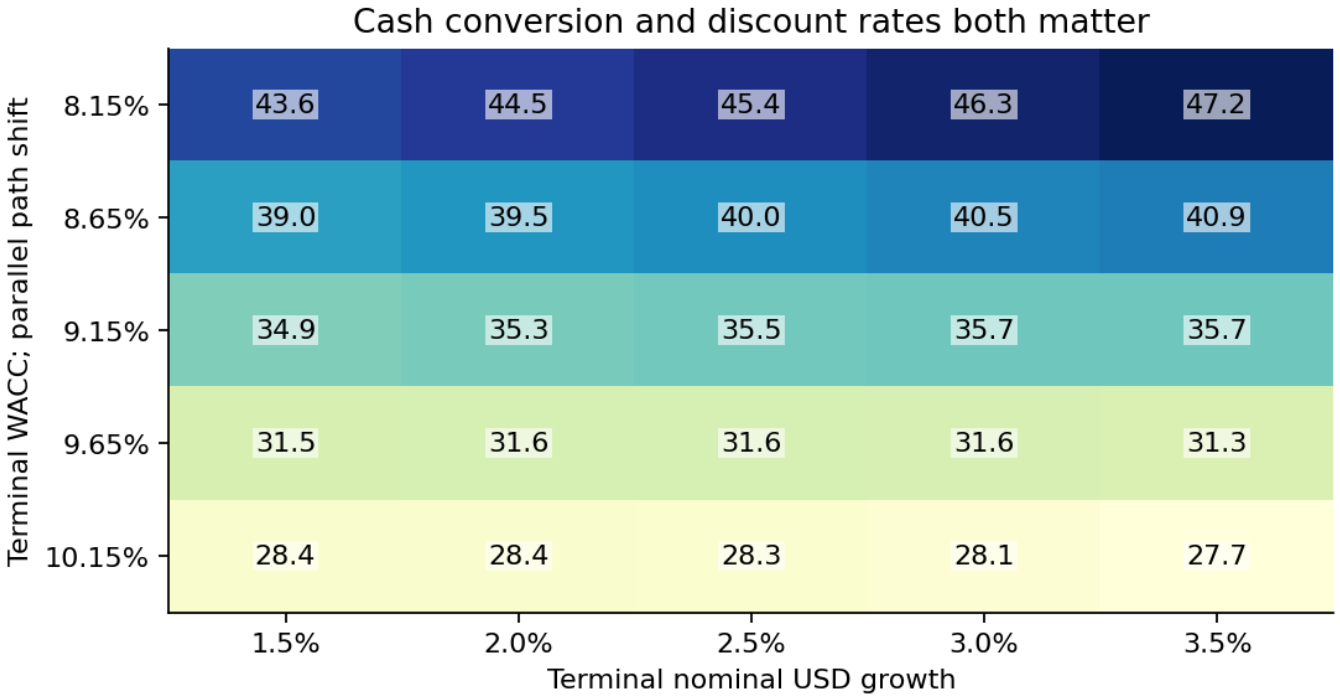
8. Scenarios and sensitivities

Bear: margin11.16%, early growth1%, terminal growth1.5%, WACC+1pp, terminal return6.5%. Bull: margin17.12%, early growth5%, terminal growth3%, WACC-0.5pp, return10%. Base assumptions are in chapter5. These joint stresses are not calibrated percentiles. Margin is the largest tested one-variable swing; discount rates rank next. The WACC/g grid recomputes reinvestment consistently, rather than changing the terminal denominator alone.

Peer robustness: removing worst-scoring Tier3 YAR leaves8 peers,6 Tier1/2,5 Europe; PBV/ROE value EUR96.77. Quartiles are peer dispersion, not confidence limits. Raw versus adjusted multiples and each valid count are in multiples_summary.csv. No uniform peer-cycle normalized series could be built. Separate illustrative target-only removal of the FY2025 bargain gain, with0%-25% tax, gives peer values EUR31.51-42.82; this is not the primary uniform-source result nor full normalization. It is economically material. Regression sensitivity uses the same NI stress, adjusting closing ROE, retention growth and payout consistently; results are in one_off_sensitivity.csv. No residual-risk band is fabricated.

scenario	EUR_per_share	TV_share
Bear	13.504	0.74
Base	35.512	0.787
Bull	60.922	0.818

case	parent_NI_proxy	peer_PBV_ROE	regression_PBV
exclude only FY25 bargain gain; tax 0	1294.0	31.509	76.803
exclude only FY25 bargain gain; tax 0.25	1758.5	42.82	86.281



9. Reconciliation and market expectations

The three point estimates are independent and were frozen before choosing the final method. DCF values consolidated operating cash flows, subtracts reinvestment and values associates separately. Peer PBV includes associates in parent book/earnings and is strongly affected by reported NI; scaling PBV by ROE is closely related to PE, not a wholly independent cash-flow test. The published PBV fit has an intercept and rewards book ROE/growth without explicitly forecasting steel reinvestment. It can remain high even after a target earnings stress.

The vendor FY25 EBIT1667 versus issuer3628 (USDm) is a1961 difference. Classification of the1858 bargain gain is a plausible contributor, not a verified full bridge. Uniform vendor inputs have not been overwritten with issuer EBIT. Different denominators, scopes, fiscal year ends, shares and historical FX matter. PBV uses FY25 closing equity54466; DCF uses latest June equity/claims for its bridge. The relative basic-share denominator differs from the DCF diluted estimate by0.18%, much too little to explain the valuation gap.

Holding other DCF inputs fixed, the current price requires a terminal/midcycle EBITDA margin around19.1%, versus14.89% selected. Peer and regression prices imply still stronger recovery under the DCF mechanics (method_reconciliation.csv). These are reverse-model implications, not a claim that the market literally forecasts those margins. Lower reinvestment, faster growth or lower discount rates could also support higher prices. A return to more normal spreads may already be in peer prices. No trusted, cutoff-aligned consensus forecast has been obtained, so no market consensus growth is asserted.

method	value	weight	DCF_margin_if_other_inputs_fixed
DCF	35.512	1.0	0.149
Peer PBV/ROE	76.752	0.0	0.245
Published PBV	112.258	0.0	0.327

10. Final value and recommendation

Fair value: low EUR13.50, base EUR35.51, high EUR60.92. ONE twelve-month target: EUR36, rounded from the valuation-date intrinsic base, with convergence assumed; no separate12-month capital-growth roll-forward or catalyst probability is modeled.

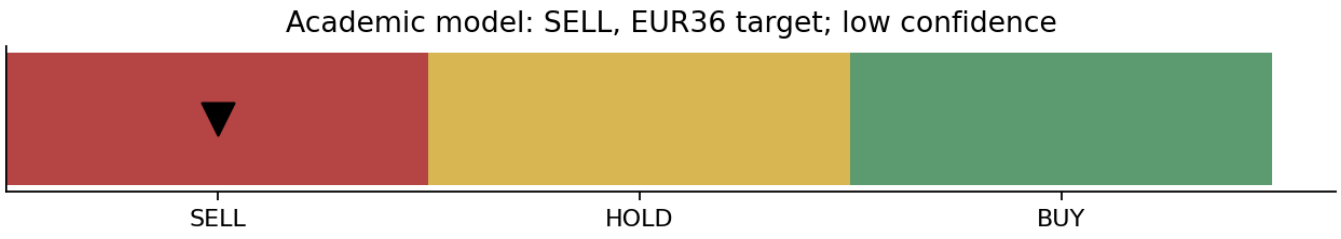
Mispricing: price53.60 less target36 is17.60; target upside/downside is-32.84%. Price is48.89% above the target; that is a different denominator from downside. The >25% gap is explained by cash reinvestment, claims and recovery assumptions, not proof of arbitrage.

Limitations: PROVISIONAL, low confidence. Exact cutoff shares and official exchange close, current debt yield/fair claims, peer eligibility/identifiers, industry median and human review remain open. Data confidence is not rescued by workbook precision.

Recommendation: academic SELL. The parameter potentially mispriced is sustainable margin after reinvestment, not reported book discount alone. This ties to the annual report's capital-intensive steel operations and non-recurring gains. DCF receives100%, peer0%, regression0% because only DCF explicitly models the relevant reinvestment/claim burden; the latter two are diagnostics with material evidence/fit limitations, not prices selected to match DCF. This choice is itself risky. An80/10/10 blend and an equal-weight blend are displayed separately; the rating is not robust to all method choices.

Trusted analyst comparison: Euronext identifies the security but accessible text does not provide a target. Morningstar XAMS was opened: the fair value/rating is locked and dated July2026, and described as quantitative, not analyst coverage. Therefore no verified cutoff-aligned analyst target is quoted. Search results from aggregators/Yahoo republishing Investing.com were excluded. Bloomberg/LSEG/Reuters target data was not obtained. This is an unavailable comparison, not agreement with analysts.

DCF	peer	regression	value
1.0	0.0	0.0	35.512
0.8	0.1	0.1	47.31
0.333	0.333	0.333	74.841



11. Risks and what changes the view

A sustainably higher margin or lower capital burden could invalidate the SELL model. A renewed steel upcycle, import protection, profitable project ramp-ups and buybacks support the bull case; energy inflation, demand weakness, carbon costs, commodity exposure, project overruns, pension/associate impairments and currency moves threaten it. The15-year cash-generation profile has not been independently verified. Revisit after official cutoff shares/claims and the FY25 vendor/issuer bridge are resolved. A verified set of near-pure steel peers and uniform normalized earnings could materially change the relative evidence. No short-sale suitability or position size is implied.

12. Glossary

EV: value of the operating business to all financiers. EBITDA: profit before interest, tax, depreciation and amortization; definitions and adjustments differ. EBIT: operating profit. FCFF: operating cash after tax and reinvestment, before financing cash flows. WACC: weighted average cost of capital, used to discount FCFF. ROE: parent earnings divided by common equity; average equity for peers, closing equity for the published equation. ROIC/ROC: operating return on invested capital. NCI: claims owned by outside shareholders of consolidated subsidiaries. CRP: incremental country risk premium. Terminal value: value after the explicit forecast. PBV: market equity/book common equity. R-squared: variation explained in the historical published fit, not probability a price is right. Interquartile range:25th to75th percentile of a peer distribution.

13. Appendices, sources and unresolved gates

Read the accompanying data_pack.xlsx, dcf_model.xlsx, comparables_audit.xlsx and regression_valuation.xlsx. source_log.csv records inputs and access dates; library assets use registered IDs/hashes. Earnings, capital structure, geographic risk, reinvestment, risk_checks and bridge schedules remain separate audit tables. Registered European industry tables and Global ratings fallback are disclosed in dcf_decisions.md; fallback rating scale is shared across regions. Course conventions include floored working-capital changes and approved decimal DFR/tax units; analyst assumptions are not attributed to the professor. The final QA document distinguishes numerical passes from evidence failures. No material gate is represented as verified. Source cutoff30 October2026; research accessed31 October2026. Academic analysis for educational purposes; not personal investment advice.

A1. Leverage: market proxies versus book

year	market_debt_ratio	book_debt_ratio	market_debt_USDm
2021	0.237	0.141	8401
2022	0.363	0.173	11330
2023	0.325	0.16	10769
2024	0.403	0.184	11812
2025	0.283	0.192	13705

A2. Earnings reconciliation, USDm; NI adjustments use estimated tax

Unnamed: 0	reported_EBIT	adjusted_EBIT	adjusted_EBITDA	group_NI_reported	adjusted_group_NI_estimate
2021	16976.0	16654.0	19177.0	15565.0	15323.5
2022	10272.0	11198.0	13778.0	9538.0	10232.5
2023	2340.0	4847.0	7522.0	1022.0	3956.0
2024	3310.0	3426.0	6058.0	1380.0	1467.0
2025	3628.0	2394.0	5339.0	3243.0	2409.75

A3. Reinvestment and terminal consistency, USDm

year	NOPAT	NCE	floor	FCFF	WACC
1	2884.522	2307.617	1843.955	-1267.051	0.093
5	5367.727	4294.182	252.471	821.074	0.092
10	6073.091	1612.193	285.648	4175.25	0.092
11	6224.918	1652.498	292.789	4279.631	0.092

A4. Additive versus beta-scaled country risk

year	Ke_additive	Ke_beta_scaled	WACC
1	0.109	0.11	0.093
11	0.111	0.113	0.092

A5. Revenue risk: largest country exposures; full table in workbook

country	revenue	weight	crp
United States	9184	0.15	0.002
Brazil	7121	0.116	0.031
Germany	5704	0.093	0.0
Poland	4412	0.072	0.011
Other Europe	4246	0.069	0.009
France	4052	0.066	0.007
Spain	3719	0.061	0.015
Canada	3164	0.052	0.0
Italy	2655	0.043	0.024
Mexico	2314	0.038	0.027

A6. Operating-to-common equity bridge, USDm

claim	USDm
excess cash	4219.54
associates	9937.0
investments	283.0
financial debt	-14716.0
NCI	-2003.0
pension after tax	-1821.0
other nonoperating liabilities	-0.0

A7. Conventions and bridge sensitivity

case	EUR_per_share	delta_EUR
operating tax20%	38.423	2.912
operating tax30%	32.6	-2.912
CRP minus1point	42.224	6.713

case	EUR_per_share	delta_EUR
CRP plus1point	30.164	-5.348
debt fair proxy minus10%	37.221	1.71
debt fair proxy plus10%	33.8	-1.712
NCI50% of book	36.703	1.191
NCI150% of book	34.321	-1.191
pension gross not net tax	34.79	-0.722
additional provisions1000	34.322	-1.189
no dilution reserve	35.654	0.142
extra shares3m	35.371	-0.141

A8. Valuation inputs: selected assumptions, not consensus

input	value
sales0	62846.0
EBITDA0	6230.0
DA0	3121.0
growth1	0.03
growth_terminal	0.025
margin0	0.099
margin_target	0.149
DA_sales	0.05
tax_operating	0.25
tax_marginal	0.239
nce_ratio_explicit	0.8
ROC_terminal	0.08
rf	0.047
erp	0.042
crp	0.017
beta_u	0.852
corporate_spread	0.011
shares_basic_m	749.711
dilution_m	3.0

input	value
price_EUR	53.6
USD_per_EUR	1.117
debt_fair_proxy	14716.0
debt_book	14421.0
target_delta	0.291
nwc0	7443.0
nwc_ratio_company	0.089
nwc_ratio_industry	0.198
excess_cash	4219.54
associates	9937.0
investments	283.0
NCI	2003.0
pension_claim_aftertax	1821.0
provision_extra	0.0
WACC_shock	0.0
explicit_years	10.0
first_stage_years	5.0
early_growth_years	3.0

A9. DCF-implied multiples; denominators must not be interchanged

multiple	DCF_implied	basis
EV / trailing adjusted EBITDA	5.452	USD33963.21m operating EV / USD6230m trailing adjusted EBITDA
EV / FY25 vendor EBITDA	7.364	Same DCF EV / reported vendor EBITDA; different accounting perimeter
EV / mean normalized EBITDA	3.274	Same EV / five-year adjusted mean; not a traded peer multiple
Common equity / FY25 book	0.548	DCF equity / FY25 parent book; latest claims in DCF bridge

A10. Share-count convention and current-data gaps

DCF basic749.710746m plus selected3m dilution reserve gives752.710746m. This estimates October purchases from750.685473m at September30 and is not a confirmed cutoff count. Relative vendor basic754.04m is kept independent. Do not subtract cash, associates or minority claims again from the equity PBV result. Official price, exact shares, current bond YTM/fair claim values, peer eligibility/ISIN checks, industry median, normalized peer earnings and human Spot_check remain unresolved. No preferred instrument is separately valued in the base. No incremental sovereign spread is added again to USD debt cost.